

The image is a composite background. At the top, the Indian national flag (saffron, white, and green horizontal stripes with the Ashoka Chakra) and the Cypriot national flag (white with an orange map of Cyprus and a green olive branch) fly on tall poles. Below the flags, the Gateway of India in Mumbai is visible on the left, and a picturesque coastal town with a large church and colorful buildings is on the right. In the foreground, a handshake between two people in dark suits is superimposed over the scene. The text 'India & Cyprus: Strengthening Partnership, Shaping Shared Growth' is written in white serif font across the center of the handshake.

India & Cyprus: Strengthening Partnership, Shaping Shared Growth

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September 2026

FOREWORD

India and Cyprus share a longstanding relationship built on mutual respect, historical goodwill and deepening institutional engagement. In recent years, this relationship has entered a new phase, marked by stronger political exchanges, expanding institutional linkages and growing cooperation across trade, investment, technology, finance, energy, maritime services, education and other emerging sectors. The evolving strategic partnership provides a strong foundation for the business communities of both countries to build more meaningful and sustained economic engagement.

This Knowledge Paper examines Cyprus not merely as a small European market, but as a potential EU facing business and investment base for Indian enterprises. Its EU and euro area membership, established maritime and financial services ecosystem, growing technology sector and strategic location in the Eastern Mediterranean create opportunities for Indian companies seeking European and regional connectivity. At the same time, Cyprus presents specific requirements and challenges including skills shortages, energy costs, water stress and infrastructure constraints where Indian capabilities can offer practical areas for collaboration.

The paper also highlights an important opportunity for the India–Cyprus economic relationship. While diplomatic and institutional engagement has expanded considerably, commercial activity remains comparatively limited. The priority, therefore, is to move beyond dialogue and MoUs towards stronger B2B engagement, investment partnerships, services trade, technology cooperation and joint ventures.

For the Chamber of Commerce and Industry, this presents a clear role: to act as a bridge between institutions and businesses, facilitate market entry and matchmaking, strengthen industry to industry dialogue, and help convert identified opportunities into a structured pipeline of commercial outcomes. This paper is intended as a practical reference for Indian businesses, policymakers and stakeholders seeking to deepen India–Cyprus economic cooperation.

We hope this Knowledge Paper contributes to a more informed, focused and commercially meaningful India–Cyprus partnership, and supports the creation of new avenues for trade, investment, innovation and long term business collaboration.

A handwritten signature in black ink, appearing to read "Munindra Kumar".

Munindra Kumar
Director General
CCI INDIA

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CYPRUS

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Basic Facts, Demographics, and Monetary System:

Cyprus is an island country in the eastern Mediterranean with a population of about 1.0 million people. The capital is Nicosia, and the official currency is the Euro (EUR). The country has a strategic location connecting Europe, Asia, and Africa, making it important for trade and finance.

Economic Landscape and Gross Domestic Product (GDP)

Cyprus has a GDP of approximately USD 41.2 billion and is classified as a high-income economy. The country's economic structure is primarily service-oriented, with tourism, banking, shipping, and financial services playing dominant roles. Over the years, Cyprus has successfully recovered from past financial crises through structural reforms, fiscal discipline, and diversification of its economy. Its strategic location and investor-friendly policies make it an attractive destination for foreign investment.

The primary sectors contributing to GDP are:

Services:

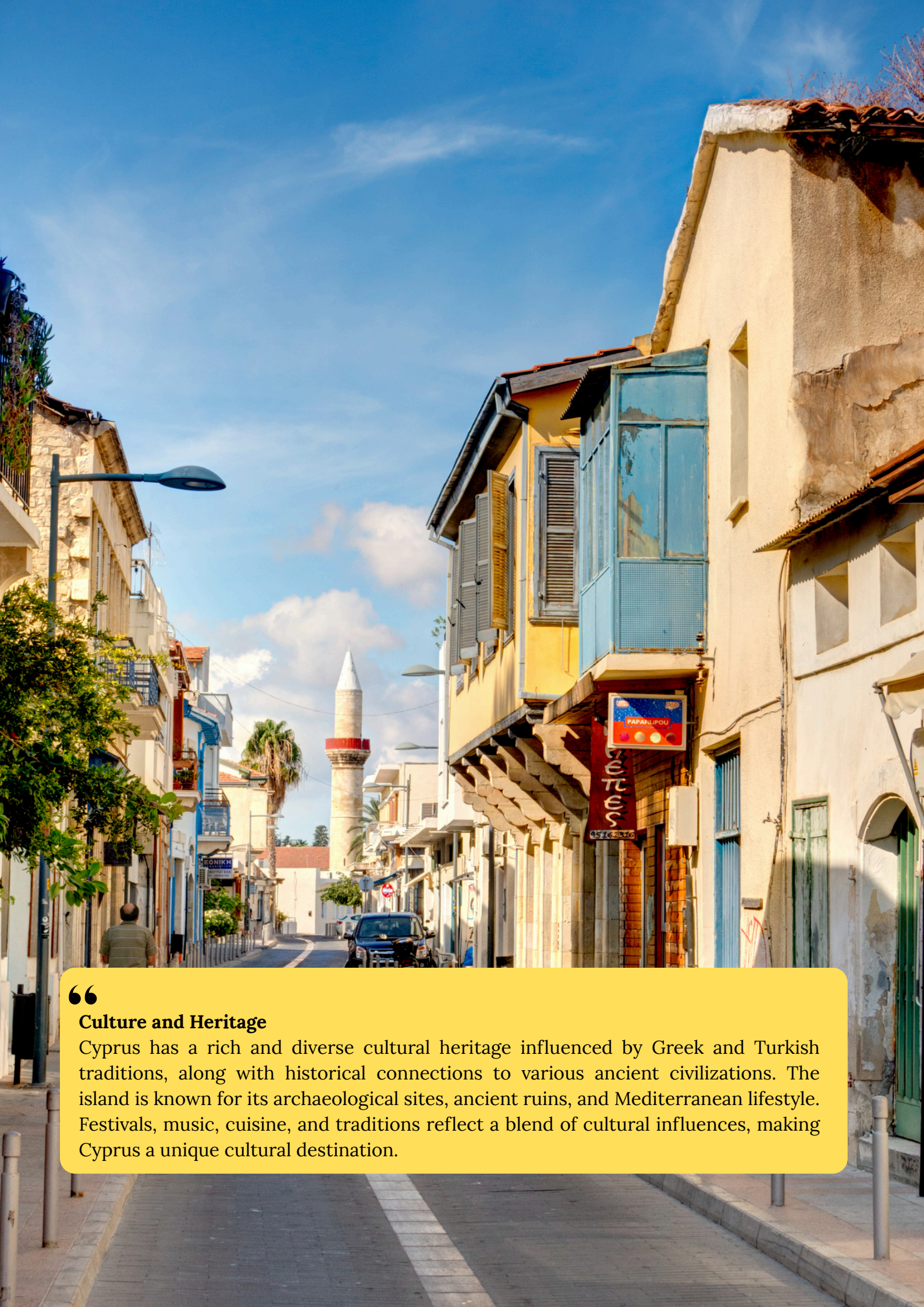
The service sector is the backbone of Cyprus's economy, contributing the largest share to GDP. Tourism is a major driver, attracting millions of visitors annually. Financial services, including banking and offshore business activities, also play a crucial role.

Industry:

Industrial activity includes manufacturing, construction, and energy-related projects. The sector supports infrastructure development and contributes to employment and economic growth.

Agriculture:

Agriculture contributes a smaller share but remains important for local consumption and exports. Key products include citrus fruits, olives, potatoes, and dairy products such as halloumi cheese.



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Culture and Heritage

Cyprus has a rich and diverse cultural heritage influenced by Greek and Turkish traditions, along with historical connections to various ancient civilizations. The island is known for its archaeological sites, ancient ruins, and Mediterranean lifestyle. Festivals, music, cuisine, and traditions reflect a blend of cultural influences, making Cyprus a unique cultural destination.

Trade Balance and Key Export-Import Commodities

Cyprus generally runs a trade deficit due to its reliance on imports, particularly for energy and industrial goods. However, this deficit is partially balanced by strong service exports, especially in tourism and financial services

- **Exports:** Major exports include pharmaceuticals, agricultural products, and processed food items, along with services such as tourism and financial activities that significantly contribute to foreign exchange earnings.
- **Imports:** Cyprus imports fuel, machinery, vehicles, consumer goods, and raw materials to support its domestic economy and infrastructure development.

India-Cyprus Bilateral Trade and Economic Ties

Bilateral trade between India and Cyprus is relatively modest in terms of volume but holds strategic importance. Cyprus serves as a significant investment gateway for foreign investments into India due to its favorable tax treaties and financial framework. Indian companies often use Cyprus as a base for European operations, strengthening economic ties between the two countries.

Economic Ties and Connectivity

The relationship between India and Cyprus is supported by strong financial and investment linkages. Bilateral agreements and investor-friendly policies encourage capital flows and business partnerships. Although Bilateral trade connectivity is limited, financial connectivity plays a crucial role in economic cooperation.



Comparative Insight with India

Compared to India, Cyprus has a much smaller economy and population but is more service-oriented, particularly in tourism and finance. While India has a highly diversified economy with strong agricultural, industrial, and service sectors, Cyprus relies heavily on services and external trade. However, Cyprus plays an important role as a financial gateway for investments into India, highlighting a unique economic connection between the two countries.

1. Country Profile

1.1 Basic Country Information

The Republic of Cyprus (RoC) is an island state in the Eastern Mediterranean and the third largest island in the sea. Nicosia is the capital and the seat of government, financial institutions and diplomatic missions, and remains the world's only divided capital city. The island covers approximately 9,251 sq. km, of which the internationally recognized Republic of Cyprus administers roughly 59%; the remainder comprises the area under the Turkish Republic of Northern Cyprus (TRNC, recognized only by Turkey) and the UN patrolled buffer zone.

Parameter	Detail
Official name	Republic of Cyprus
Capital	Nicosia (Lefkosia)
Major cities	Limassol, Larnaca, Paphos, Nicosia; Famagusta (northern, non RoC administered area)
Area	~9,251 sq. km (RoC administered ~5,896 sq. km)
Population	~0.995–1.0 million (2026 estimate)
Currency	Euro (€)
Political system	Presidential republic
Official languages	Greek and Turkish
Business language	English is the de facto language of commerce, banking and legal practice
EU membership	Since 1 May 2004
Eurozone membership	Since 1 January 2008
Schengen status	Not yet a Schengen member; accession remains under EU review
Time zone	EET / EEST (UTC+2 / UTC+3)

1.2 Geography & Strategic Location

Cyprus sits at the crossroads of Europe, the Middle East and North Africa, roughly equidistant from Athens, Beirut, Cairo, Tel Aviv and Ankara, and outside Europe's peak shipping and flight congestion corridors. For Indian businesses this geography matters commercially, not merely descriptively: it places Cyprus inside the EU customs and regulatory area while sitting on the doorstep of the Levant, the Gulf approaches and North Africa, and it explains why shipping, ship management, energy transit and reexport activity have become structurally important to the economy.

- **Ports:** Limassol (main container/cargo port, handling roughly 90% of the island's seaborne trade) and Larnaca (dry bulk, general cargo; Larnaca Port & Marina redevelopment currently under review after the original concession was terminated in 2024).
- **Airports:** Larnaca and Paphos International Airports, jointly targeting passenger throughput in the range of 6.5 million per year.
- **Maritime:** 3rd largest merchant fleet in the EU and 11th largest globally by registered tonnage, with Limassol functioning as Europe's largest third party ship management centre.
- **Energy:** an emerging Eastern Mediterranean gas province (Cronos, Aphrodite, Glaucus fields) and a planned electricity interconnector (the EU backed Great Sea Interconnector) linking Cyprus to Crete/Greece and, prospectively, Israel.
- **Telecommunications:** multiple submarine cable landing points position Cyprus as a regional data and connectivity relay between Europe, the Middle East and Africa.

1.3 Political & Governance Structure

Cyprus is a presidential republic with an executive President serving as both head of state and head of government (President Nikos Christodoulides, in office since 2023), and a unicameral House of Representatives. Seats reserved for the Turkish Cypriot community have been vacant since 1964 amid the island's political division. The judiciary follows a common law influenced legal tradition inherited from British colonial administration, which Indian legal and professional services firms often find comparatively familiar relative to continental European civil law systems. Cyprus is a member of the Commonwealth of Nations, as is India, which provides an additional institutional and legal cultural point of connection.

1.4 Cyprus and the European Union

Cyprus has been an EU member since 2004 and adopted the euro in 2008, providing access to the EU Single Market, EU regulatory frameworks and euro area financial infrastructure. EU law applies formally across the island, although its application is suspended in areas not under the effective control of the Republic of Cyprus government.

For Indian businesses, Cyprus's key advantage is its potential role as an EU facing operating and investment base, particularly in ICT, fintech, shipping, professional services, renewable energy, tourism and selected manufacturing. Companies established in Cyprus can operate within the wider Single Market subject to applicable EU standards, licensing and compliance requirements. Its euro area membership can also reduce currency friction in transactions with European partners. Cyprus's location in the Eastern Mediterranean further combines EU regulatory credibility with proximity to Middle Eastern and North African markets, creating opportunities for Indian companies seeking both EU access and regional connectivity. Its upcoming Presidency of the Council of the EU will also raise its visibility in Brussels and provide a potential window for institutional and business engagement.

1.5 Demographic & Social Profile

- Population of roughly 1 million, with population growth driven substantially by inward migration and the relocation of foreign professionals (particularly into ICT, financial services and shipping) rather than natural increase.
- Labour force of approximately 655,000, with an employment rate near 79% and unemployment among the lowest in the EU (around 3.0–4.7% depending on the measure and period).
- A structurally ageing population, consistent with the wider EU trend, which reinforces the economy's dependence on skilled foreign labour inflows.
- A workforce that is highly multilingual, English proficient and services oriented, with tertiary education attainment above the EU average.
- A resident Indian community of approximately 15,500 (April 2026), concentrated in shipping, IT, fintech, agriculture/farm work, domestic work and higher education.

1.6 Economic Snapshot

Cyprus has been among the fastest growing economies in the EU over 2024–2026, expanding at roughly two to three times the eurozone average, supported by tourism, ICT/professional services and investment tied to the completion of EU Recovery and Resilience Facility (RRF) projects. Forecasts for 2026–2027 show some moderation, reflecting Middle East related external demand headwinds flagged by both the European Commission and the University of Cyprus Economics Research Centre.

Indicator	2025	2026 (forecast)	2027 (forecast)
Real GDP growth (yoy)	3.8%	2.3%	2.7%
Inflation (HICP, yoy)	0.8%	3.6%	2.2%
Unemployment rate	~4.4%	~4.2%	~4.2%
General government balance (% GDP)	3.4% surplus	~2.1% surplus	~2.5% surplus

Indicator	2025	2026 (forecast)	2027 (forecast)
Gross public debt (% GDP)	55%	~50.4%	45.5%
Current account balance (% GDP)	6.4%	7.2%	6.5%

1.7 Business & Investment Environment

- Corporate taxation: Cyprus's headline corporate income tax rate was 12.5% for many years and remains one of the most competitive in the EU; under a 2026 tax reform aligned with the OECD Pillar Two global minimum tax, an effective 15% rate now applies to large multinational groups (consolidated revenue $\geq$ €750 million), while the Special Defense Contribution on dividends was simultaneously cut from 17% to 5% to preserve overall investor attractiveness.
- IP Box regime offering an effective tax rate as low as 2.5% on qualifying intellectual property income.
- An extensive Double Taxation Avoidance Agreement network of 60plus treaties, including a revised India–Cyprus DTAA (2016).
- A well-developed professional services ecosystem legal, audit, tax, corporate administration and fund services built originally around the international business/holding company sector and increasingly around funds, fintech and ICT.
- A skilled, English speaking, EU qualified workforce, though increasingly reliant on non EU talent inflows in fast growing sectors such as ICT.
- EU compliant financial regulation (CySEC) with recent tightening of AML/crypto reporting standards (DAC8, the Crypto Asset Reporting Framework, effective January 2026).

1.8 Cyprus's Strategic Economic Position

For an Indian business audience, Cyprus is best understood not as a large consumer market in its own right its population of under one million and nominal GDP of roughly USD 45 billion place it among the smaller EU economies by absolute size but as a functional platform. The evidence assembled in this paper supports five complementary characterizations, each relevant to a different type of Indian company:

- An EU/eurozone business and holding base, offering Single Market access, a competitive tax and treaty framework, and common law influenced commercial legal practice.
- A maritime and ship management hub, with the EU's largest third-party ship management cluster and the EU's 3rd largest registered fleet.
- A financial and fund services centre, with a maturing regulatory framework for funds, fintech and digital assets.
- An emerging technology hub, with the fastest ICT gross value-added growth rate in the EU over 2016–2025 and an active relocation incentive regime for international ICT firms.

- A regional connector, particularly for energy (East Mediterranean gas and electricity interconnection), tourism/MICE and professional services linkages into the Middle East and North Africa.

This paper treats these as evidenced, sector specific roles rather than as a single promotional claim that Cyprus is 'the' gateway to Europe; Taken together, these characteristics give Cyprus a disproportionate strategic relevance relative to its domestic market size. For Indian companies, the opportunity is therefore less about selling into Cyprus alone and more about using the country as a base for regional operations, partnerships, investment structuring and EU market access. The strongest potential is likely to be concentrated in sectors where Cyprus already has established institutional capabilities and where Indian firms possess complementary scale, technology or cost advantages. This creates scope for India–Cyprus B2B partnerships, joint ventures, investment platforms and professional services linkages rather than relying primarily on conventional merchandise trade.

2. Embassy / Diplomatic Relations with India

2.1 Establishment of Diplomatic Relations

India and Cyprus established diplomatic relations on 10 February 1962, two years after Cyprus gained independence. The relationship's founders Archbishop Makarios III, Cyprus's first President, and Pandit Jawaharlal Nehru, India's first Prime Minister were both leading figures of the Non Aligned Movement, and India supported Cyprus's independence struggle against British colonial rule. This anticolonial solidarity remains a recurring reference point in official rhetoric on both sides and underpins a relationship that both governments now describe as maturing into a comprehensive strategic partnership.

- India has consistently supported a Cyprus settlement based on a bizonal, bicomunal federation in line with relevant UN Security Council resolutions.
- Cyprus supports India's candidature for a permanent seat on an expanded UN Security Council, has backed India's membership aspirations in the Nuclear Suppliers Group, and has conveyed support for India's candidature for a nonpermanent UNSC seat for 2028–29.
- India contributed three Force Commanders Lt. Gen. P.S. Gyani, Gen. K.S. Thimayya (who died on active duty in Cyprus in 1965) and Maj. Gen. Diwan Prem Chand to the UN Peacekeeping Force in Cyprus (UNFICYP) since its creation in 1964; one Indian Army officer continues to serve with UNFICYP.
- Reciprocal commemorative gestures include an avenue named for Archbishop Makarios in New Delhi, the High Commission of India in Nicosia located on a street named for Indira Gandhi, a Mahatma Gandhi bust in the grounds of the Cyprus House of Representatives, and joint commemorative postal stamps issued in 1970, 2019 and 2022.

2.2 Diplomatic Missions

Mission	Detail
India in Cyprus	High Commission of India, Nicosia the resident diplomatic and commercial (Commercial Wing) point of contact for Indian businesses; current High Commissioner: Shri Manish.
Cyprus in India	High Commission of the Republic of Cyprus, New Delhi.
Consular / commercial functions	The High Commission of India's Commercial Wing in Nicosia handles business enquiries, market entry support and coordination with Invest India, Make in India, Startup India and the India–Cyprus Business Summit process.

2.3 Cyprus Trade Representation in India

Cyprus's trade and investment promotion engagement with India is currently structured primarily through institutional and chamber to chamber channels rather than a dedicated standalone Cyprus Trade Centre on Indian soil: Invest Cyprus (the national investment promotion agency), the Cyprus Chamber of Commerce and Industry (CCCI), and Cyprus's High Commission in New Delhi jointly perform this function, supported by periodic delegations (for example, Invest Cyprus's CEO joining the Deputy Minister of Research, Innovation and Digital Policy's delegation to the ICC Global Business Summit in Mumbai, September 2025). This is a structural gap relative to markets such as Israel, where Cyprus maintains a dedicated Trade Centre, and is flagged as a candidate area for CCI facilitated institution building.

2.4 High Level Visits & Political Engagement (2024–2026)

Bilateral political engagement has intensified sharply since 2024, culminating in the first Indian Prime Ministerial visit to Cyprus in over two decades and a reciprocal Cypriot Presidential State visit to India in 2026.

Date	Visit / Engagement
Feb 2025	Cypriot Defense Ministry delegation participates in Aero India 2025, Bengaluru; meetings with India's Raksha Rajya Mantri.
15–16 Jun 2025	PM Narendra Modi's official visit to Cyprus first Indian PM visit in over two decades; business roundtable in Limassol; Joint Declaration issued; PM Modi conferred the Grand Cross of the Order of Makarios III; agreement to develop a Joint Action Plan 2025–2029.

Date	Visit / Engagement
Sep 2025	EAM–FM Kombos meeting on the margins of the 80th UNGA, New York; Indian delegation at the 6th COSPAR Scientific Symposium, Nicosia (ISRO and Pixel space India participation).
Sep 2025	INS Trikanth port call at Limassol (21–24 Sep) with a PASSEX exercise alongside the Cyprus Navy; defense production delegation led by Secretary (Defense Production), MoD, visits Cyprus.
29–31 Oct 2025	Cyprus FM Constantinos Kombos visits India first Cypriot FM visit in 14 years; reviews the June 2025 Joint Declaration and the Joint Action Plan 2025–2029; delivers the 75th Sapru House Lecture.
24–28 Nov 2025	Cyprus parliamentary delegation, led by House of Representatives President Annita Demetriou, visits New Delhi first at this level in 30 years; meetings with the President, Vice President, Lok Sabha Speaker and EAM.
23 Jan 2025 / 18 Feb 2026	Bilateral Defense Cooperation Programmes (BDCP) for 2025 and 2026 signed in Nicosia.
6–7 Feb 2026	Cyprus Chief Scientist participates in the EU–India Forum, New Delhi.
18–19 Feb 2026	Cyprus Deputy Minister for Research, Innovation and Digital Policy represent President Christodoulides at the India AI Impact Summit 2026, New Delhi.
2–4 Mar 2026	High Commission of India organizes a 'Brand India' defense production event in Nicosia.
15 Mar 2026	EAM–FM Kombos meeting on the margins of the EU Foreign Affairs Council, Brussels.
Mar 2026	India–Cyprus Business & Investment Summit, Nicosia three MoUs signed (see 2.6).
20–23 May 2026	State visit of President Nikos Christodoulides to India (Mumbai and Delhi), on the invitation of PM Modi.

2.5 India–Cyprus Strategic Partnership

PM Modi's June 2025 visit is the clearest inflection point in the relationship in over twenty years. It produced a Joint Declaration and an agreement to work towards a comprehensive Joint Action Plan for 2025–2029 covering trade, investment, technology, energy, defense and people to people connectivity described by India's High Commissioner as evidence that the relationship 'is maturing into a comprehensive and strategic partnership.'

Cooperation areas identified in official statements and subsequent engagements include: trade and investment; capital markets and payments connectivity; defense, security and counterterrorism; space; AI and digital policy; higher education; and cultural/diaspora engagement.

2.6 Bilateral Agreements & MoUs

Agreement / MoU	Year	Area	Significance for Business
Cultural Cooperation Agreement	1980	Culture / education	Framework for cultural & educational exchange; underpins soft power and diaspora engagement.
Economic, Trade, Scientific & Industrial Cooperation Agreement	1989	Trade / economic	Established the India–Cyprus Joint Economic Committee (JEC); institutional home for trade policy dialogue (9th meeting held virtually, Oct 2021).
Revised Double Taxation Avoidance Agreement (DTAA)	2016	Taxation	Removes double taxation on cross border income/capital gains; central to Cyprus's use as an investment holding jurisdiction into India.
MoU on Defense & Military Cooperation	2022	Defense	Framework agreement enabling the subsequent annual Bilateral Defense Cooperation Programmes (2025, 2026).
Declaration of Intent Migration & Mobility Partnership	2022	Migration / mobility	Basis for structured movement of skilled labour and students between the two countries.
Invest India–Invest Cyprus MoU	Dec 2021	Investment promotion	Formal channel for mutual investment facilitation and business cooperation promotion.
Bilateral Defense Cooperation Programmes (BDGP) 2025 & 2026	2025 / 2026	Defense	Annual workplans for defense cooperation activities, including Joint Committee Meetings.
MoU Chair of Indian Studies, University of Nicosia	Jun 2025	Education	Institutionalizes Indian studies teaching/research capacity in Cyprus; long run people to people and soft power channel.

Agreement / MoU	Year	Area	Significance for Business
NSE International Exchange (NSE IX)–Cyprus Stock Exchange MoU	Jun 2025	Capital markets	Framework for cross and dual listings; deepens India–Cyprus capital market collaboration (including GIFT City linkage).
NPCI International Payments (NIPL)–Eurobank Cyprus MoU	Jun 2025	Payments / fintech	Enables UPI based cross border payment acceptance in Cyprus directly relevant to Indian tourists, students and diaspora, and a template for wider EU UPI expansion.
CCCI–FICCI MoU	Mar 2026	Trade & investment	Chamber to chamber framework for trade/investment promotion between the two business communities.
CCCI–Services Export Promotion Council (SEPC) MoU	Mar 2026	Services trade	Targets services sector cooperation, aligned with India's ambition to reach USD 1 trillion in services exports by 2030.
Pinaka Technologies (India)–Cellock (Cyprus) MoU	Mar 2026	Defense & cybersecurity	Company level defense/cybersecurity cooperation announced at the India–Cyprus Business & Investment Summit.
Limassol Chamber of Commerce–Goa Chamber of Commerce & Industry MoU	2023	Regional trade	Subnational chamber linkage.
Larnaca Chamber of Commerce–Bangalore Chamber of Industry & Commerce MoU	2024	Regional trade	Subnational chamber linkage relevant to India's southern technology corridor.

2.7 Diplomatic Relations: Business Opportunities

The practical value of this diplomatic architecture for CCI lies in its sequencing. High level political momentum (the 2025 PM visit, the 2026 Presidential visit, the Joint Action Plan 2025–2029) has already produced institutional cooperation (JEC, Invest India–Invest Cyprus, NSE IX–CSE, NIPL–Eurobank) and the first wave of B2B engagement (CCCI–FICCI, CCCI–SEPC, regional chamber MoUs, the Pinaka–Cellock tie up). What is comparatively underdeveloped is the next stage of the chain sustained trade flows, inbound investment and joint ventures translating these agreements into commercial outcomes. This is precisely the gap CCI is positioned to fill.

3. Major Economic & Business Sectors

This section reviews the ten sectors most relevant to CCI India's engagement with Cyprus. Each subsection closes with the question that should frame CCI's interest: why does this sector matter for India–Cyprus economic cooperation?

3.1 ICT, Technology & Digital Economy

Technology is now Cyprus's single largest growth engine. KPMG's 2025 economic impact assessment found the tech sector (ICT plus tech linked professional/scientific and financial activity) contributed €5.9 billion directly to GDP in 2025 16.2% of the economy, up from 15.5% in 2024 rising to €11.9 billion once indirect and induced effects are included. ICT alone generated €4.1 billion in gross value added, giving Cyprus the third highest ICT share of GVA in the EU27 (12.5%, against a 5.6% EU average) and the bloc's fastest ICT growth rate over 2016–2025 (+435%, versus an EU average of +86%). ICT employment rose from 9,300 (2015) to 26,000 (2024), growing at roughly 12% annually; the sector now supports close to 80,000 jobs when the wider tech ecosystem is included. Cyprus hosts over 860 startups and scaleups, with fintech the largest subsegment (194 companies).

- Growth drivers: an active company relocation incentive regime run by Invest Cyprus, EU/eurozone market access, English language talent, and a competitive tax and IPbox framework.
- Key constraint: a widening talent gap by 2024, only 50% of new ICT roles were filled by EU nationals (42% by non EU nationals, 8% by other EU citizens), with industry and government both flagging an urgent STEM/upskilling need.
- India relevance: India is one of the world's largest sources of ICT and engineering talent and one of the largest global IT services exporters. The talent gap that Cypriot industry itself identifies as its binding constraint is a gap Indian IT services firms, GCCs and skilled professionals are well placed to help close through delivery centres, secondment arrangements and talent mobility partnerships, not only through market entry.

Why this matters for India–Cyprus cooperation: Cyprus offers Indian IT/ITES and fintech companies an EU regulated base with company relocation incentives, while Cyprus's own tech ecosystem needs the scale of technical talent India can supply. This creates a particularly strong opening for India–Cyprus technology cooperation beyond conventional IT outsourcing. Indian firms could participate through technology delivery centres, GCCs, fintech partnerships, cybersecurity, cloud services, AI and digital transformation solutions, while Cypriot firms can provide an EU regulated platform for European market expansion. Collaboration in STEM education, workforce upskilling and technology incubation could also help address Cyprus's talent constraints while creating new opportunities for Indian technology companies and professionals. For CCI, this represents an opportunity to build a structured India–Cyprus technology corridor linking companies, talent, investment and innovation ecosystems.

3.2 Shipping, Maritime & Logistics

Cyprus operates the EU's third largest and the world's 11th largest registered merchant fleet (over 2,200 vessels, 25millionplus gross tons), and Limassol is Europe's largest third party ship management centre, with 220plus shipping companies managing roughly 20% of the global third party ship management market and employing around 40,000 seafarers. The sector contributes more than 7% of GDP directly (an estimated €1.9 billion per the Deputy Shipping Ministry), with ship management alone accounting for over 5.5% of GDP a share that rose 27% between 2023 and 2024. The registry grew 18–21% between September 2023 and 2025, and Cyprus remains on the Paris MoU 'White List' for vessel safety performance (2026–2027).

- **Competitive base:** an EU approved tonnage tax regime covering ship owning, ship management and chartering together (unusual within the EU); 60plus DTAA's; 25plus bilateral shipping agreements; no seafarer nationality restrictions; a new digital single window portal (CYSh1P).
- **2026 reforms:** abolition of stamp duty and removal of the social cohesion levy for nonresident seafarers, alongside a dedicated shipping company registrar.
- **India relevance:** India is a major global supplier of seafarers and maritime professionals, and Indian shipping, logistics and maritime technology companies (ship management, crewing, marine engineering, maritime software) can plug directly into a cluster that explicitly competes on service quality and talent, not only on registry cost.

Why this matters for India–Cyprus cooperation: Cyprus's maritime cluster offers Indian shipping, crewing and maritime technology firms an EU regulated base with genuine scale (20% of global third party ship management), while Indian seafaring talent and maritime tech capability directly answer sector needs.

3.3 Tourism, Hospitality & MICE

Tourism delivered its strongest year on record in 2025: arrivals exceeded 4.5 million (+12.2% year on year, +41.6% over three years) and revenue reached €3.69 billion (+15.2% year on year), lifting tourism's GDP contribution to roughly 14%, from 13.1% in 2024. Average visitor spend rose to €822 (daily spend €99.5, +7.2%), while cruise tourism more than doubled to 278,000 passengers and agrotourism grew over 40% across three years. Thirteen tourism incentive schemes were active in 2025, four funded under the EU Recovery and Resilience Facility.

- **Growth drivers:** record air connectivity, a shift from pure recovery towards quality/product enhancement, and diversification into cruise, agrotourism and MICE.
- **Constraints:** average length of stay is falling (down 4% to 8.27 days), signaling rising unit costs and a need for higher value, longer dwell offerings
- **India relevance:** outbound Indian leisure and MICE travel is expanding rapidly, and Indian hospitality operators, travel tech platforms and event management companies can both bring Indian visitor volume to Cyprus and support Cyprus's own push into higher value MICE and agrotourism products.

Why this matters for India–Cyprus cooperation: Cyprus needs higher value visitor segments and longer stays; India is a fast growing outbound travel and MICE market actively courted by destinations worldwide.

3.4 Financial & Professional Services

Financial and insurance activities remain a core pillar of the economy (historically the single largest sector by gross value added, now roughly on par with ICT at under 10% of GVA, reflecting deliberate diversification since the 2013 banking crisis). Cyprus's fund administration, legal, audit and corporate services ecosystem underpin its role as an EU investment holding and fund domiciliation jurisdiction. The sector is evolving quickly: the Registered Alternative Investment Fund (RAIF) framework is being adapted for tokenization and digital asset strategies, and DAC8/the Crypto Asset Reporting Framework took effect from January 2026, tightening AML and tax transparency standards across crypto asset activity.

- 2026 tax reform: corporate tax raised from 12.5% to an effective 15% for large multinational groups under OECD Pillar Two, offset by a cut in the Special Defense Contribution on dividends from 17% to 5%.
- India relevance: the 2025 NSE IX–Cyprus Stock Exchange MoU and the NIPL–Eurobank Cyprus UPI MoU are early, concrete building blocks for deeper India–Cyprus capital markets and payments linkages, including potential dual listing and GIFT City connectivity.

Why this matters for India–Cyprus cooperation: Cyprus's fund and capital markets infrastructure, combined with the new NSE IX–CSE and UPI–Eurobank linkages, gives Indian financial institutions and fintechs a concrete, already initiated channel into EU capital markets and payments.

3.5 Energy, Renewables & Green Technology

Cyprus sits on a significant, not yet monetized offshore gas resource base: the Cronos field (Eni/Total Energies, ~2.5 tcf), the Aphrodite field (Chevron led consortium, estimated 3.5–6 tcf, whose development has been repeatedly delayed pending an agreed development/optimization plan), and the Glaucus field (ExxonMobil/Qatar Energy, estimated 5–8 tcf, still under appraisal). First gas from Cronos has been targeted for 2026/early 2027, feeding Eni's Zohr facilities in Egypt, though timelines have slipped before and should be treated as indicative. In parallel, the EU backed Great Sea Interconnector (~€1.9 billion, with an EU grant of €657 million against an €800 million total commitment) is intended to link Cyprus's electricity grid to Crete/Greece and, prospectively, Israel, addressing Cyprus's longstanding electricity cost disadvantage (historically up to triple that of continental neighbors) and its current near total import dependence for power generation.

- India relevance: Indian renewable energy EPC and equipment companies, and Indian expertise in solar and grid scale storage, are directly relevant to Cyprus's need to diversify away from imported fuel Cyprus is already a leading per capita adopter of solar water heating (3rd globally) but has much further to go on utility scale renewables.

- Caution for CCI: gas project timelines in the Eastern Mediterranean have repeatedly slipped over the past decade; recommendations should treat 2026/27 first gas targets as directional, not committed.

Why this matters for India–Cyprus cooperation: Cyprus's energy cost and import dependence problem is a genuine, government acknowledged constraint that Indian clean energy capability can help address, independent of the East Med gas timeline. Beyond generation capacity, Cyprus presents opportunities across the wider energy value chain, including grid modernization, battery energy storage, smart grid solutions, energy efficiency technologies and renewable energy integration. Indian companies with proven capabilities in solar EPC, transmission and distribution, digital energy management and storage could explore partnerships with Cypriot utilities, developers and technology providers. Cooperation could also extend to technical training, project financing and technology transfer models, creating a broader India–Cyprus clean energy partnership rather than a projectspecific engagement.

3.6 Pharmaceuticals, Healthcare & Life Sciences

Pharmaceutical products are already among India's top categories of goods exports to Cyprus, reflecting India's global scale in generic pharmaceutical manufacturing and Cyprus's role as an EU regulated reexport and distribution point for the wider region. Granular data on Cyprus's own pharmaceutical manufacturing base and healthcare services market could not be reliably verified for this paper and should be sourced directly from the Cyprus Ministry of Health and Invest Cyprus before CCI finalizes sectors specific commitments.

- India relevance: Indian generic and formulation exporters already have a toehold in the Cyprus market; the opportunity is to move from arm's length export to EU registered distribution partnerships, and to explore Cyprus as an EU regulatory compliance and reexport base for wider European market access.

Why this matters for India–Cyprus cooperation: pharmaceuticals are a proven, already flowing export category the task is deepening and formalizing it, not creating it from scratch.

The next phase of cooperation could extend beyond finished product exports into contract manufacturing, pharmaceutical distribution, regulatory support and life sciences partnerships. Indian companies could leverage Cyprus's EU regulatory environment to strengthen compliance, market entry and distribution capabilities across European markets. Opportunities may also exist in medical devices, diagnostics, digital health and healthcare technology, where Indian cost competitiveness and technical capabilities can complement European standards and demand.

3.7 Construction, Infrastructure & Real Estate

Real estate activity was the fourth largest contributor to gross value added in the most recent detailed sector breakdown available (€2.09 billion), and investment more broadly surged 18.4% year on year in the first half of 2025, driven in part by the scheduled completion of EU Recovery and Resilience Facility funded infrastructure projects through 2026.

Tourism linked real estate demand and port/infrastructure redevelopment (including the still unresolved Larnaca Port & Marina project) are the two clearest near term construction sector storylines.

- India relevance: Indian construction, EPC and building materials companies can engage through joint ventures on RRF linked infrastructure and tourism real estate projects, subject to standard EU procurement rules.

Why this matters for India–Cyprus cooperation: RRF funded project completion through 2026 represents a defined, timebound pipeline of construction and infrastructure activity that Indian EPC firms can target now.

3.8 Trade, Distribution & Ecommerce

Limassol handles approximately 90% of Cyprus's seaborne exports and imports, with capacity for roughly 500,000 TEU, making it the practical gateway for any India to Cyprus (and onward EU) goods trade. Cyprus's small domestic population means the sector's strategic value lies less in direct consumer retail and more in its function as a distribution, reexport and ecommerce fulfilment node for the wider Eastern Mediterranean, subject to the caveats on the 'EU gateway' proposition

- India relevance: Indian trading houses, 3PL/logistics providers and export oriented MSMEs can use Cyprus based distribution arrangements to reach EU, Middle Eastern and North African buyers from a single EU compliant base, provided realistic freight/logistics costs and Limassol's port capacity constraints are factored in.

Why this matters for India–Cyprus cooperation: distribution and reexport, not high volume direct retail, is the commercially realistic trade and distribution proposition Cyprus offers Indian exporters.

3.9 Agriculture, Food Processing & Agribusiness

Agriculture is a small share of the Cypriot economy (around 2% of GDP), with citrus and potatoes among its traditional export products. Water stress is a longstanding structural constraint on the sector. Granular, current data on Cyprus's food processing and agribusiness market could not be reliably verified for this paper.

- India relevance: Indian agri tech, drip irrigation, water efficient farming technology and food processing equipment providers are relevant to a water constrained agricultural sector; agrotourism's 40%plus three year growth also creates adjacent opportunities in farm to table and rural tourism linkages.

Why this matters for India–Cyprus cooperation: India's water efficient agri technology base is a direct answer to a specific, well documented Cypriot constraint, even though the agriculture sector itself is small.

3.10 Education, Research & Innovation

Institutional linkages have grown quickly since 2024: the June 2025 MoU establishing a Chair of Indian Studies at the University of Nicosia; Indian participation (including DPIIT backed startups and, in 2024, the Indian unicorn Pristyn Care) in the Reflect Festival, the region's largest tech event, held in Limassol; Cypriot participation in India's AI Impact Summit (Feb 2026) and the EU–India Innovation and Technology Forum (Feb 2026); and legal education links evidenced by the Commonwealth Legal Education Association conference at UC Lan Cyprus (Oct 2024), attended by a senior Indian judicial and legal delegation.

- India relevance: Cyprus's universities (including branch campuses of UK institutions such as UC Lan) and its position as an English language, EU accredited education market makes it a plausible complementary destination for Indian students and for India–Cyprus joint research/innovation programmes, building directly on the Chair of Indian Studies and the EU–India Innovation Forum linkage.

Why this matters for India–Cyprus cooperation: education and innovation are the sector where institutional groundwork (the Chair of Indian Studies, Reflect Festival participation, the AI Summit linkage) is furthest ahead of commercial activity meaning it is the easiest sector for CCI to convert into structured, near term programming.

4. Key Challenges

This section assesses Cyprus's structural challenges objectively, and consistent with the analytical framework of this paper asks where Indian capability could plausibly help address them, rather than treating the list purely as a risk register.

Challenge–Opportunity Matrix

Cyprus Challenge	Cause / Evidence	Business Impact	Potential Indian Capability / CCI Opportunity
Geopolitical & Regional Security Risks	Cyprus's growth outlook for 2025–2027 has been explicitly revised down by the University of Cyprus Economics Research Centre and the European Commission on account of escalating Middle East tensions, which are weighing on external demand for services and on business/consumer confidence.	Elevated risk premium on regional trade and services exports; potential volatility in tourism and shipping demand.	Limited direct Indian intervention; relevant mainly as a factor CCI should monitor when timing major trade missions or investment pushes.

Cyprus Challenge	Cause / Evidence	Business Impact	Potential Indian Capability / CCI Opportunity
Political Division of the Island	Cyprus has been divided since the 1974 Turkish invasion following a Greek Cypriot coup; the TRNC in the north is recognized only by Turkey; peace talks collapsed at Crans Montana in 2017. UN Secretary General Guterres restarted engagement in 2026, securing agreement to weekly leader level meetings (Aug 2026) and discussion of new buffer zone crossing points, though the UN's own reporting flags concerning militarization trends in the buffer zone and UNFICYP's mandate has been extended only to January 2027.	EU law and Single Market access apply only to the RoC administered south; any RoC based business strategy should assume the division persists for the planning horizon of this paper.	None directly; CCI should simply ensure all recommendations in this paper are scoped to RoC administered Cyprus.
Energy Dependence & High Costs	Cyprus has historically had import dependent, high cost electricity (reported at up to triple that of continental neighbors), pending the development of offshore gas (Cronos/Aphrodite/Glaucus) and the Great Sea Interconnector; both remain behind originally floated timelines.	Higher input costs for energy intensive Indian investors; a persistent government priority that creates receptivity to renewable/efficiency partnerships.	Indian solar, storage and grid technology firms; renewable energy EPC and financing partnerships
Small Domestic Market	Population under one million and nominal GDP of roughly USD 45 billion limit Cyprus's value as a standalone consumer market.	Indian companies should treat Cyprus primarily as a platform/base rather than an end market.	Reframe market entry strategy around EU/regional distribution rather than domestic Cypriot consumption.
Dependence on Services & Tourism	Services account for roughly 85% of GDP, with tourism alone contributing ~14%; the 2025–2026 forecast downgrade was driven specifically by weakening external demand for services.	Exposes the economy to external shocks (Middle East tensions, EU demand cycles) more than diversified goods exporting economy would be.	Diversification support., Indian IT/ITES and manufacturing investment that adds a goods/tech export dimension to the economy.
Labour & Skills Shortages	The ICT sector itself reports that only 50% of new roles are filled by EU nationals (42% by non EU nationals) as of 2024, with industry leaders publicly calling for urgent STEM upskilling.	Constrains the growth rate of Cyprus's most dynamic sector (tech) and raises hiring costs/timelines for new entrants.	Direct opening for Indian IT/engineering talent mobility, GCC delivery centre models and training partnerships.

Cyprus Challenge	Cause / Evidence	Business Impact	Potential Indian Capability / CCI Opportunity
Productivity & Innovation Challenges	Beyond the tech sector's own reported skills gap, broad, current productivity benchmarking specific to Cyprus could not be reliably verified for this paper; it is flagged qualitatively as an area requiring direct verification against OECD/EU competitiveness reports before CCI finalizes related claims.	N/A pending verification.	N/A pending verification CCI should commission or source updated OECD/EU innovation score board data.
Regulatory & Judicial Efficiency	Cyprus's common law influenced legal system is a relative strength for Indian firms; judicial efficiency and case backlog specifics were not independently verified for this paper and should be checked against the European Commission's EU Justice Scoreboard before publication.	Potential caveat for dispute resolution timelines; not verified in sufficient detail here to make a specific claim.	N/A pending verification.
Financial Sector Vulnerabilities	The financial sector's GVA share fell from roughly 12% a decade ago to under 10% today, a deliberate post2013bankingcrisis diversification away from a bank dominated model; new AML/crypto reporting rules (DAC8/CARF, effective Jan 2026) reflect continued regulatory tightening.	Reduced (though not eliminated) concentration risk; rising compliance costs across the funds/fintech sector.	Indian regtech/compliance technology firms could be relevant as Cyprus's AML/reporting burden grows.
Climate Change & Water Stress	Cyprus has a Mediterranean climate with well documented, longstanding water scarcity pressure on agriculture and municipal supply; this is a structural, widely acknowledged constraint rather than a recent development.	Constrains agricultural sector growth and raises the value of water efficient technology and desalination capacity.	Indian water efficient irrigation, desalination and agri tech providers.
Infrastructure & Connectivity Constraints	Limassol handles ~90% of seaborne trade with a single port bottleneck; the Larnaca Port & Marina redevelopment has stalled since the original concession (Kition Ocean Holdings) was terminated in May 2024, with a new masterplan still under preparation as of 2026.	Logistics capacity ceiling for any Indian company planning Cyprus as a distribution base; timing risk for infrastructure linked investment.	Potential opening for Indian port infrastructure and logistics technology investors once the Larnaca masterplan is finalized.
Demographic Ageing	Consistent with the broader EU trend, Cyprus's population structure is ageing, reinforcing its dependence on inward migration/talent relocation to sustain labour force growth .	Sustained, structural demand for skilled foreign labour across multiple sectors.	Reinforces the talentmobility opportunity identified under ICT (4.6) across other sectors too.

Cyprus Challenge	Cause / Evidence	Business Impact	Potential Indian Capability / CCI Opportunity
Cost of Living & Inflationary Pressures	Inflation has moderated sharply (from 3.9% in 2023 to roughly 0.9–1.5% in 2025/early 2026), but the absolute cost of living level remains relatively high regionally, with estimated monthly living costs in the low thousands of dollars.	Higher relocation/operating costs for Indian personnel posted to Cyprus than in some competitor jurisdictions.	None directly; a cost factor for CCI to build into market entry guidance for Indian companies and their staff.
External Economic Dependence	The current account deficit is forecast at roughly 7.4% of GDP in 2026, reflecting import dependence (notably energy) and sensitivity to external services demand.	A macro vulnerability that reinforces the case for diversifying export/investment sources, including from India.	Broader Indian trade and investment inflows would help diversify Cyprus's external accounts, though this is a macro policy outcome rather than a specific CCI deliverable.

Assessment

Taken together, these challenges do not describe an economy in distress Cyprus's growth, fiscal and employment indicators are among the strongest in the EU but rather a small, open, services heavy economy whose main vulnerabilities (energy costs, talent shortages, single port logistics, political division, external demand sensitivity) are precisely the areas where a large, complementary economy like India can plausibly add value, provided CCI's engagement is targeted rather than generic. The objective, consistent with the mandate for this paper, is not to catalogue Cyprus's weaknesses but to identify where Indian capability intersects with a challenge Cyprus itself has already identified and is actively trying to solve.

5. India–Cyprus Trade & Economic Relations

5.1 Historical Economic Relations

Economic engagement between India and Cyprus has historically been modest in absolute goods trade terms relative to the strength of the political relationship, institutionalized since 1989 through the India–Cyprus Joint Economic Committee (JEC) under the Agreement on Economic, Trade, Scientific and Industrial Cooperation. Cyprus's economic significance to India has run substantially ahead of bilateral goods trade, driven instead by its role as an investment holding jurisdiction—a pattern this paper's trade and investment opportunity analysis treats as the central asymmetry to correct. The opportunity therefore lies in converting the existing investment relationship into a broader commercial partnership covering services, technology, financial cooperation, shipping, renewable energy, tourism and high-value manufacturing.

5.2 Bilateral Trade

Bilateral trade between India and Cyprus was USD 140.47 million in FY 2024–25 (April 2024–March 2025), per Indian Department of Commerce data. The five year trend shows meaningful volatility rather than a steady trend, with a trade balance that swung from a large Indian surplus (2021–22) to a deficit (2022–23) and back to surplus (2023–24, 2024–25).

Trade Flow (USD million)	202021	202122	202223	202324	202425
Cyprus imports from India	90.11	139.85	81.88	94.92	89.92
Cyprus exports to India	23.98	74.32	116.17	42.04	50.55
Total bilateral trade	114.09	214.17	198.05	136.96	140.47
India's trade balance	+66.13	+65.53	34.29	+52.88	+39.37

5.3 India's Major Exports to Cyprus

- Organic chemicals
- Pharmaceutical products
- Fish and crustaceans, molluscs and other aquatic invertebrates
- Iron & steel
- Ceramic products
- Electrical machinery and equipment and parts thereof
- Sound recorders and reproducers, television image and parts and accessories of such articles

5.4 India's Major Imports from Cyprus

- Ferrous and nonferrous metals
- Aluminium and articles thereof
- Pulp of wood or other fibrous cellulosic material; recovered (waste and scrap) paper or paperboard
- Copper and articles thereof
- Iron and steel
- Boilers, machinery and mechanical appliances
- Pharmaceuticals and pharmaceutical intermediates
- Electrical machinery, equipment and components
- Optical, medical and precision instruments
- Organic and inorganic chemical products
- Plastics and articles of plastics
- Mineral products, stone, glass and ceramic products

5.5 Trade Trends

The trade relationship is narrow concentrated in a handful of HS categories on both sides and small in absolute terms relative to India's overall EU trade (India–EU goods trade was roughly USD 135 billion in FY 2023–24, per the High Commission of India). This narrowness, rather than any single declining category, is the structural feature CCI should target: bilateral trade has oscillated around the USD 115–215 million range for five years without a clear secular growth trend, despite the political relationship strengthening substantially over the same period. Precise category level growth/decline rates were not available at the granularity needed to identify specific emerging or declining product lines within this research process, and should be sourced from UN Comtrade or India's Department of Commerce trade analytics portal before CCI finalizes product level targeting.

5.6 Trade Complementarity

What Cyprus's economy needs, based on the sector evidence, and what India can competitively supply:

- ICT/engineering talent and IT services against Cyprus's own documented tech talent shortfall.
- Pharmaceutical and generic medicine supply already a top Indian export category, with room to deepen through EU registered distribution partnerships.
- Renewable energy equipment and EPC capability against Cyprus's energy cost and import dependence challenge.
- Water efficient agri technology against Cyprus's structural water stress.
- Maritime crewing and ship management services against a labor intensive cluster that already recruits internationally.

What India imports, and what Cyprus can competitively supply: Cyprus's exports to India are dominated by metals (ferrous/nonferrous, Aluminium, copper) and paper/pulp recovered materials reflecting Cyprus's role as a European metals/recycled materials trading point rather than a manufacturing exporter in its own right. This is a narrower complementarity than the reverse direction, and is unlikely to be the primary growth driver of the relationship; Cyprus's comparative advantage for India lies overwhelmingly in services, capital markets and investment facilitation roles rather than in goods exports to India. The complementarity is therefore asymmetric but potentially high value: India brings scale, technology, manufacturing depth and skilled manpower, while Cyprus offers EU market connectivity, specialized services, maritime expertise and an investment friendly business environment. This suggests that the relationship should not be evaluated solely through bilateral merchandise trade volumes. Greater value may come from services trade, investment flows, joint ventures, technology partnerships and regional market access. Indian companies could use Cyprus selectively as an EU facing base, while Cypriot companies could leverage India's scale and cost competitiveness to access the wider South Asian market.

5.7 Services Trade

Granular, India Cyprus specific bilateral services trade data (IT, financial services, tourism, shipping, education) at the balance of payments level could not be reliably verified within this research process and should be sourced from RBI balance of payments data and Eurostat/Central Bank of Cyprus services trade statistics before CCI finalizes services trade claims. Qualitatively, the direction of travel is clear from the sector evidence Cyprus's tourism sector is actively courting new source markets, its ICT sector needs foreign technical services delivery, and new capital markets/payments linkages (NSE IX–CSE, NIPL–Eurobank) point to nascent financial services trade that did not previously exist in any structured form.

5.8 Investment Relations

Investment, not goods trade, is the dominant dimension of the India–Cyprus economic relationship. Cyprus is among the top nine sources of FDI into India, with cumulative investment of USD 15.76 billion between April 2000 and June 2025 (DPIIT estimate), spanning services, computer software, auto manufacturing, other manufacturing, real estate, cargo handling, construction, shipping and pharmaceuticals. This figure substantially reflects Cyprus's historical role as an investment holding conduit including for capital ultimately originating elsewhere and routed through Cyprus domiciled structures rather than solely direct Cypriot corporate investment, a distinction CCI should keep in mind when characterizing the relationship to stakeholders. The reverse flow Indian investment into Cyprus is not separately quantified in the sources reviewed for this paper and should be sourced from Invest Cyprus/Central Bank of Cyprus data before CCI makes specific claims about it.

- The revised 2016 DTAA and India's 2013 removal of Cyprus from its 'Notified Jurisdictional Area' list underpin continued use of Cyprus as an investment holding structure for inbound investment into India.
- Cyprus is one of only three non FATF countries approved for Category I Foreign Portfolio Investor (FPI) status under SEBI (FPI) Regulations, 2019a notable regulatory vote of confidence relevant to any capital markets cooperation agenda.

5.9 Institutional & Economic Cooperation

Mechanism	Established	Function
Joint Economic Committee (JEC)	1989 (9th meeting: Oct 2021, virtual)	Government to government economic, trade, scientific & industrial cooperation dialogue
Foreign Office Consultations (FOC)	2001 (protocol); 6 rounds to date, last in Nov 2024	Annual Secretary level political/foreign policy consultations
Cyprus India Business Association (CIBA)	2005, under CCCI	Cyprus side business association dedicated to India economic ties

Mechanism	Established	Function
Invest India–Invest Cyprus MoU	Dec 2021	Mutual investment promotion cooperation
India Greece Cyprus (IGC) Business & Investment Council	Launched Feb 2025, Mumbai	Trilateral business/investment cooperation platform, meeting regularly since launch
CCCI–FICCI / CCCI–SEPC / CCCI–BCCI MoU's	2026 (Business & Investment Summit) and prior	National level chamber to chamber trade and services cooperation
Limassol–Goa / Larnaca–Bangalore Chamber MoU's	2023 / 2024	Subnational/regional chamber cooperation

5.10 Assessment of Bilateral Economic Potential

The current relationship is best described as institutionally rich but commercially thin: six decades of close diplomatic ties, a dense and rapidly growing web of MoUs and cooperation mechanisms (nine of them concluded or renewed in the 2024–2026 window alone), and a substantial if largely conduit driven investment relationship, sitting alongside bilateral goods trade that has not exceeded roughly USD 215 million in any of the last five years.

The principal gap is the absence, to date, of a systematic mechanism converting political and institutional momentum into recurring B2B transactions, SME level trade, and direct (non conduit) investment in both directions. This is the gap that this paper address.

6. Trade & Investment Opportunities

6.1 Export Opportunities from India to Cyprus

Realistic near term export opportunities build on categories where demand rationale is already evidenced, rather than India's general export capacity:

- Pharmaceuticals & generics already a top Indian export category; opportunity to move from spot export to EU registered distribution partnerships leveraging Cyprus's EU market access.
- Organic chemicals & specialty chemicals building on an existing, established trade line.
- Marine/seafood products (fish, crustaceans, molluscs) an existing category with room to grow given Cyprus's tourism driven foodservice demand (4.5 million annual visitors).
- Renewable energy equipment (solar components, storage) against Cyprus's explicit energy cost and import dependence challenge.
- Engineering goods, electrical machinery and iron & steel existing categories, expandable through Cyprus's RRF linked construction and infrastructure pipeline.
- IT hardware and telecom equipment supporting Cyprus's fast growing ICT sector buildout.

6.2 Services Opportunities

- IT services, GCC/delivery centre models and cybersecurity directly against Cyprus's documented ICT talent shortfall; the Pinaka Technologies–Cellock MoU (2026) is an early proof point in the cybersecurity/defense tech space specifically.
- Fintech and payments building on the NIPL–Eurobank Cyprus UPI MoU (2025) as a template for wider Indian fintech entry.
- Shipmanagement, crewing and maritime technology services against Cyprus's scale as Europe's largest third party ship management centre.
- Professional/consulting services supporting Indian companies establishing EU operations via Cyprus, and Cypriot firms entering India.
- Education services building on the Chair of Indian Studies (2025) and India's own growing outbound higher education market.
- Healthcare services a plausible but currently under evidenced opportunity; requires direct verification with the Cyprus Ministry of Health before CCI commits sector resources.
- Tourism, hospitality and travel tech services leveraging Cyprus's established tourism sector, with opportunities for Indian hospitality, travel management, digital booking and destination services companies to support and expand the island's visitor economy.
- Renewable energy and cleantech services covering solar, energy efficiency, smart grid and sustainability solutions, where Indian engineering and technology providers could support Cyprus's transition toward greater renewable energy adoption.

6.3 Investment Opportunities in Cyprus

- Technology & fintech company relocation into Cyprus's incentive supported ICT ecosystem.
- Renewable energy solar, storage and grid technology investment against Cyprus's high electricity costs and import dependence.
- Shipping & ship management direct investment in Cyprus registered fleet or ship management operations, leveraging the EU approved tonnage tax regime.
- Tourism & hospitality hotel, MICE venue and agrotourism investment against a proven, still growing visitor base.
- Real estate & infrastructure participation in RRF linked construction and, contingent on the Larnaca masterplan's finalization, port infrastructure investment.
- Financial services & fund administration leveraging Cyprus's Category I FPI status and its evolving RAIF/tokenization fund framework.
- Education investment in or partnership with Cyprus's university sector, building on the Chair of Indian Studies precedent.
- Healthcare & pharmaceuticals investment in pharmaceutical distribution, medical devices, diagnostics and health care technology partnerships, using Cyprus as an EU regulated platform for wider European market access.

- Logistics & regional trade services investment in warehousing, distribution, maritime logistics and trade support services, leveraging Cyprus's location between the EU, Middle East and North Africa

6.4 Cyprus: India Opportunities

Sectors where Cypriot companies could invest or partner in India, based on Cyprus's demonstrated strengths:

- Ship management and maritime services companies partnering with Indian ports/maritime clusters (e.g., GIFT City's IFSC maritime finance ambitions) or Indian shipyards.
- Cypriot fund and capital markets institutions coinvesting through the NSE IX–CSE Dual listing framework and GIFT City.
- Cypriot professional services and legal firms supporting Indian companies' EU market entry from an India facing advisory presence.
- Cypriot tourism operators partnering with Indian travel platforms to build two way visitor flows, given the sharp recent growth in both countries' outbound travel markets.
- Cypriot renewable energy and cleantech companies partnering with Indian developers, EPC firms and technology providers in solar, energy efficiency, green infrastructure and sustainable energy projects.
- Cypriot education and training institutions partnering with Indian universities, skill development organisations and edtech platforms to develop joint programmes, professional training and student mobility initiatives.

6.5 Cyprus as a Potential EU Gateway

The proposition 'India → Cyprus → EU' has genuine substance but is not unconditional. In favor: Cyprus offers full EU Single Market and eurozone access, one of the EU's most competitive corporate tax and treaty frameworks, English language and common law influenced commercial practice, and since 2025–2026 concrete capital markets and payments linkages (NSE IX–CSE, NIPL–UPI) that few other EU jurisdictions currently offer India specifically.

Limitations that CCI must communicate honestly to Indian businesses considering this route:

- Cyprus's own domestic market is small; any 'gateway' value is about EU wide access, not Cypriot consumption.
- Island logistics mean physical goods distribution into continental Europe from Cyprus is less efficient than from mainland EU logistics hubs; Cyprus is a stronger base for services, holding structures and reexport/trading activity than for high volume physical goods distribution.
- Cyprus competes directly with other established EU holding/services jurisdictions that offer comparable or, in some respects, deeper capital markets infrastructure; Cyprus's edge for Indian companies specifically lies in its India facing institutional relationships (DTAA, FPI status, NSE IX–CSE, UPI) rather than in being structurally superior to these alternatives.

- Regulatory requirements (EU AML/KYC, DAC8/CARF reporting, Pillar Two minimum tax rules) apply in full; Cyprus should not be positioned as a lighter touch alternative to EU compliance generally.
- Cost considerations: relocation and operating costs for Indian personnel are nontrivial.

CCI's honest positioning should therefore be sector specific: Cyprus is a strong EU gateway for Indian financial services, fintech, ICT services delivery, ship management and investment holding structures; it is a weaker gateway for high volume physical goods distribution, where mainland EU hubs are likely to remain more efficient.

6.6 India Cyprus Joint Venture Opportunities

- Technology transfer & JV models Indian IT/fintech firms partnering with Cyprus based EU market facing entities (building on the Pinaka–Cellock precedent).
- Distribution partnerships Indian pharmaceutical and consumer goods exporters partnering with Cyprus based EU distributors.
- Contract manufacturing / assembly limited near term potential given Cyprus's small industrial base; better suited to India side manufacturing with Cyprus based EU distribution.
- Research collaboration universities and research institutions, building on the Chair of Indian Studies and EU–India Innovation Forum linkages.
- Capital markets co investment structured through the NSE IX–CSE Dual listing framework and GIFT City.

6.7 Opportunity Ranking

Opportunity	Market Potential	Indian Advantage	Entry Complexity	Time Horizon	CCI Priority
IT services / GCC delivery centres	High	Very High	Low Medium	Immediate	Very High
Fintech & UPI based payments	Medium High	High	Medium	Immediate	Very High
Ship management & maritime services	High	Very High	Medium	Immediate–Short	High
Pharmaceutical distribution partnerships	Medium	High	Low Medium	Immediate	High
Renewable energy (solar, storage)	Medium High	High	Medium High	Short Medium	High
Capital markets (NSE IX–CSE, GIFT City)	Medium	High	Medium	Short Medium	High
Tourism / MICE / hospitality investment	Medium	Medium High	Medium	Short Medium	Medium

Opportunity	Market Potential	Indian Advantage	Entry Complexity	Time Horizon	CCI Priority
Education & research partnerships	Medium	High	Low	Immediate	Medium
Construction / RRF linked infrastructure JV	Medium	Medium	Medium High	Medium	Medium
Agri tech (water efficient farming)	Low Medium	Medium High	Medium	Medium	Emerging
Port/logistics infrastructure (Larnaca)	Uncertain (masterplan pending)	Medium	High	Medium Long	Emerging

7. How CCI India Can Collaborate / Intervene

CCI is not a government authority and cannot substitute for MEA, the Department of Commerce, Invest India or the High Commissions. What CCI can realistically do is fill the specific institutional gap identified: converting political and MoU level momentum into recurring, trackable commercial activity.

7.1 CCI as a Business Connector

CCI can operate as the primary Indian side convening point linking Indian companies to their Cypriot counterparts CCCI, CIBA, and sector bodies such as Tech Island and the Cyprus Shipping Chamber building directly on the CCCI–FICCI and CCCI–SEPC MoUs signed in March 2026, which currently lack a dedicated implementation vehicle.

7.2 CCI as a Market Entry Facilitator

- Cyprus specific market intelligence for Indian MSMEs, curated from Invest Cyprus, CyStat and Central Bank of Cyprus sources.
- Partner identification within Cyprus's chamber and sector association network.
- Structured business delegations timed around known Cyprus events (Reflect Festival, Maritime Cyprus, European Maritime Day Limassol) rather than generic missions.
- B2B matchmaking sessions attached to the annual India–Cyprus Business & Investment Summit.
- Regulatory orientation on EU market entry requirements (AML/KYC, DAC8/CARF, Pillar Two) so Indian companies enter with accurate compliance expectations rather than outdated 'tax haven' assumptions.

7.3 CCI as a Policy & Industry Bridge

CCI can channel Indian industry input into the government to government Joint Economic Committee process and support the Department of Commerce/MEA around the Joint Action Plan 2025–2029's trade and investment components, without duplicating either institution's mandate. It can serve as a structured feedback and facilitation platform, aggregating sector specific concerns, regulatory bottlenecks and market entry issues raised by Indian businesses operating or seeking to operate in Cyprus. CCI can also facilitate regular India–Cyprus industry consultations, roundtables and business delegations to identify actionable opportunities. The objective should be to convert industry feedback into specific policy recommendations, institutional follow up and measurable business outcomes.

7.4 CCI as an Investment Facilitator

- Coordinating investor delegations in both directions, alongside Invest India and Invest Cyprus under their December 2021 MoU.
- Investment matchmaking around the priority sectors identified.
- Institutional introductions leveraging the NSE IX–Cyprus Stock Exchange and NIPL–Eurobank Cyprus linkages for capital markets and payments sector investors specifically.

7.5 CCI as a Knowledge Partner

- Maintaining and periodically updating a Cyprus market report (of which this paper is the first edition) as the reference document for Indian industry.
- Sector briefs for each of the ten priority sectors, refreshed annually.
- A regulatory guide translating Cyprus/EU market entry requirements into practical guidance for Indian MSMEs.
- A business directory of verified Cyprus side counterparts (chambers, Invest Cyprus contacts, sector associations) accessible to CCI members.

7.6 CCI as a Project Enabler

CCI's ambition should be to move beyond the conference networking MoU cycle that has characterized much of the 2024–2026 institutional activity, towards a disciplined project pipeline:

Opportunity Identification → B2B Matchmaking → Due Diligence Support → Pilot Engagement → Investment / Joint Venture → Scale

7.7 Proposed CCI India–Cyprus Institutional Framework

A practical model should clearly separate existing institutions from mechanisms CCI would need to establish or formalize:

Category	Institution / Mechanism
Existing India government	MEA, Department of Commerce, Invest India, DPIIT, SEPC
Existing Cyprus government / agencies	Ministry of Finance, Ministry of Energy Commerce & Industry, Deputy Shipping Ministry, Invest Cyprus, CySEC
Existing diplomatic	High Commission of India, Nicosia; High Commission of Cyprus, New Delhi
Existing chambers / business bodies	CCCI, FICCI, SEPC, BCCI, CIBA, Limassol & Larnaca Chambers, Goa & Bangalore Chambers
Existing bilateral platforms	Joint Economic Committee (JEC); Foreign Office Consultations; India Greece Cyprus Business & Investment Council
Proposed CCI mechanisms	A dedicated CCI 'Cyprus Desk'; sector wise Working Groups mirroring; an annual CCI–CCCI Review coordinated with (not duplicating) the JEC and the Business & Investment Summit

8. Sector wise CCI Initiatives

One flagship initiative per priority sector, each designed to produce a commercial outcome rather than a further round of conferences alone.

8.1 India–Cyprus Digital & AI Innovation Forum

Element	Detail
Objective	Convert Cyprus's documented ICT talent gap into structured Indian delivery centre and talent mobility partnerships.
Rationale	42% of new Cypriot ICT roles were filled by non EU nationals in 2024; India is a natural talent and delivery centre partner.
Target participants	Indian IT/ITES firms, GCC operators, Cypriot tech employers, Tech Island, Invest Cyprus.
Indian stakeholders	NASSCOM affiliated firms, DPIIT startups, CCI IT/ITES members.
Cypriot stakeholders	Invest Cyprus, Tech Island, CITEA, University of Nicosia (Chair of Indian Studies as a talent pipeline anchor).
Key activities	Annual forum co located with Reflect Festival; a curated GCC/delivery centre playbook for Cyprus; talent mobility pilot with 3–5 Indian IT firms in year one.

Element	Detail
Proposed CCI role	Convene, curate delegation, publish the GCC playbook.
Potential government role	MEA/HCI Nicosia visa facilitation support; Cyprus Ministry of Labour on mobility permits.
Potential private sector role	Co funding by participating IT firms; Tech Island as Cyprus side convening partner.
Implementation mechanism	CCI ICT Working Group, reporting through the proposed Cyprus Desk.
Expected outcomes	3–5 Indian delivery centre or secondment pilots within 18 months.
KPIs	Number of pilots signed; jobs created/filled; forum attendance growth yearonyear.
Short term actions	Scope the GCC playbook; identify 10 candidate Indian IT firms.
Longterm potential	Cyprus as a recognized nearshore EU delivery hub for Indian IT firms.

8.2 India–Cyprus Maritime & Logistics Council

Element	Detail
Objective	Link Indian seafaring talent and maritime tech capability to Cyprus's ship management cluster.
Rationale	Limassol manages ~20% of the world's third party ship management market and needs skilled crewing and maritime tech partners.
Target participants	Indian shipping/crewing companies, Cypriot ship management firms, Cyprus Shipping Chamber.
Indian stakeholders	Indian National Shipowners' Association, maritime training institutes, maritime tech startups.
Cypriot stakeholders	Deputy Shipping Ministry, Cyprus Shipping Chamber, Limassol ship management companies.

Element	Detail
Key activities	Annual Council meeting alongside Maritime Cyprus; crewing partnership pilots; maritime tech (CYSh1PAdjacent) collaboration pilots.
Proposed CCI role	Convene Indian shipping/crewing delegation; coordinate with the Ministry of Ports, Shipping and Waterways.
Potential government role	Bilateral shipping agreement support; recognition of Indian maritime qualifications.
Potential private sector role	Crewing agreements between Indian manning agencies and Cypriot ship managers.
Implementation mechanism	CCI Maritime Working Group.
Expected outcomes	Formal crewing/manning agreements; at least one maritime tech pilot.
KPIs	Number of crewing agreements; seafarer placements; tech pilots launched.
Short term actions	Map Cypriot ship managers with active India crewing interest.
Longterm potential	India as a preferred crewing and maritime tech partner for the Cyprus registry.

8.3 India–Cyprus Tourism & MICE Business Corridor

Element	Detail
Objective	Build two way visitor flows and position Cyprus for higher value MICE and agrotourism segments.
Rationale	Cyprus's 2025 tourism record (4.5m arrivals) coincides with a strategic shift from recovery to quality/MICE enhancement; India is a fast growing outbound travel market.
Target participants	Indian travel trade/OTAs, MICE organizers, Cypriot Deputy Ministry of Tourism, ACTTA.

Element	Detail
Indian stakeholders	Indian outbound travel agents, MICE/event management firms.
Cypriot stakeholders	Deputy Ministry of Tourism, ACTTA, Cyprus hospitality operators.
Key activities	Annual India focused roadshow; India Cyprus MICE familiarization trips; agrotourism pilot packages.
Proposed CCI role	Coordinate Indian travel trade delegation; support comarketing.
Potential government role	Visa facilitation review; air connectivity advocacy.
Potential private sector role	Hotel and DMC partnerships; joint MICE packages.
Implementation mechanism	CCI Tourism Working Group.
Expected outcomes	Measurable increase in Indian arrivals; at least two MICE events secured.
KPIs	Indian visitor arrival growth; MICE bookings; agrotourism package uptake.
Short term actions	Identify 5 Indian MICE organizers for a familiarization trip.
Longterm potential	Cyprus as an established Indian MICE and wedding tourism destination.

8.4 India–Cyprus FinTech & Financial Services Forum

Element	Detail
Objective	Operationalize the NSE IX–CSE and NIPL–Eurobank Cyprus MoUs into live capital markets and payments activity.
Rationale	Two concrete institutional agreements exist (2025) but require an implementation vehicle to become live commercial channels.

Element	Detail
Target participants	Indian fintechs, NSE IX, Cypriot fund administration and payments firms.
Indian stakeholders	NPCI International, GIFT City entities, Indian fintech association members.
Cypriot stakeholders	Cyprus Stock Exchange, CySEC, Eurobank Cyprus, Cyprus fund administration firms.
Key activities	Annual forum reviewing NSE IX–CSE Dual listing pipeline and UPI acceptance rollout; fund framework (RAIF) briefing for Indian fund managers.
Proposed CCI role	Convene forum; track MoU implementation milestones.
Potential government role	SEBI–CySEC regulatory dialogue support.
Potential private sector role	First Dual listing candidate companies; UPI merchant acceptance expansion in Cyprus.
Implementation mechanism	CCI Financial Services Working Group.
Expected outcomes	First dual listed company; measurable UPI acceptance footprint in Cyprus.
KPIs	Dual listings executed; UPI accepting merchants in Cyprus; fund AUM crossflows.
Short term actions	Convene NSE IX and CSE for an implementation milestone review.
Longterm potential	Cyprus as a live India–EU capital markets and payments corridor.

8.5 India–Cyprus Clean Energy Partnership

Element	Detail
Objective	Match Indian renewable energy capability to Cyprus's energy cost and import dependence challenge.
Rationale	Cyprus has among the EU's highest relative electricity costs and is still years from significant East Med gas or interconnector relief.
Target participants	Indian solar/storage EPC firms, Cyprus Ministry of Energy, Commerce and Industry.
Indian stakeholders	Indian renewable energy developers and equipment manufacturers.
Cypriot stakeholders	Ministry of Energy, Commerce and Industry; Electricity Authority of Cyprus.
Key activities	Renewable energy investment roundtable; feasibility studies for utility scale solar/storage pilots.
Proposed CCI role	Convene Indian renewable energy delegation; support feasibility study matchmaking.
Potential government role	MNRE–Cyprus Energy Ministry technical dialogue; International Solar Alliance linkage (Cyprus joined ISA in 2022).
Potential private sector role	Joint venture utility scale solar/storage projects.
Implementation mechanism	CCI Energy Working Group.
Expected outcomes	At least one utility scale renewable pilot under feasibility study within 18 months.
KPIs	MW capacity under study/contract; number of Indian firms engaged.
Short term actions	Leverage Cyprus's International Solar Alliance membership as an entry point.

Element	Detail
Longterm potential	Indian renewable energy capability as a structural answer to Cyprus's electricity cost problem.

8.6 India–Cyprus Pharma & Healthcare

Element	Detail
Objective	Deepen an already flowing pharmaceutical export relationship into formal EU distribution partnerships.
Rationale	Pharmaceuticals are already a top Indian export category to Cyprus; the opportunity is structural deepening, not market creation.
Target participants	Indian generic/pharma exporters, Cypriot distributors, Cyprus Ministry of Health (for verification of sector data).
Indian stakeholders	Pharmexcil affiliated exporters.
Cypriot stakeholders	Cypriot pharmaceutical distributors and regulatory authorities.
Key activities	Distribution partnership matchmaking; regulatory alignment briefing on EU pharma registration via Cyprus.
Proposed CCI role	Convene exporter delegation; coordinate with Pharmexcil.
Potential government role	MEA/Commercial Wing support on regulatory questions.
Potential private sector role	Formal distribution agreements with Cypriot pharma distributors.
Implementation mechanism	CCI Pharma & Healthcare Working Group.
Expected outcomes	Two to three formal distribution partnerships within 18 months.
KPIs	Distribution agreements signed; export value growth in the pharma category.

Element	Detail
Short term actions	Verify current Cyprus pharma market sizing with the Ministry of Health before committing resources.
Longterm potential	Cyprus as an EU registration and reexport base for Indian pharma exporters.

8.7 India–Cyprus Infrastructure & Investment Forum

Element	Detail
Objective	Position Indian EPC and construction firms for Cyprus's RRF linked infrastructure pipeline.
Rationale	Investment surged 18.4% in H1 2025, driven by RRF project completion through 2026; the Larnaca Port & Marina masterplan remains pending.
Target participants	Indian EPC/construction firms, Cyprus Ministry of Transport, Communications and Works.
Indian stakeholders	Indian construction and infrastructure finance firms.
Cypriot stakeholders	Cyprus Ports Authority, relevant ministries overseeing RRF project delivery.
Key activities	Infrastructure pipeline briefing; monitoring of the Larnaca masterplan for a future investment window.
Proposed CCI role	Track the Larnaca masterplan timeline; convene EPC sector interest group.
Potential government role	EXIM Bank of India project finance support where applicable.
Potential private sector role	JV bids on qualifying RRF linked or Larnaca related tenders once EU procurement rules and timelines are clear.
Implementation mechanism	CCI Infrastructure Working Group.
Expected outcomes	Indian EPC firms positioned and prequalified ahead of the Larnaca masterplan decision.
KPIs	Number of Indian firms preregistered; master plan monitoring updates issued.

Element	Detail
Short term actions	Establish a standing watch brief on the Larnaca Port & Marina masterplan process.
Longterm potential	Indian EPC participation in Cyprus's next major infrastructure cycle.

8.8 India–Cyprus Trade & EU Market Gateway Programme

Element	Detail
Objective	Build sector appropriate distribution/reexport partnerships via Cyprus, with honest scoping.
Rationale	Limassol handles ~90% of Cyprus's seaborne trade; the gateway value is real for services and select goods, not high volume physical distribution.
Target participants	Indian trading houses and MSME exporters, Cypriot distributors and logistics providers.
Indian stakeholders	FIEO affiliated exporters, CCI MSME members.
Cypriot stakeholders	Cyprus Chamber of Commerce trade division, Limassol Port stakeholders.
Key activities	MSME distribution partner matchmaking; honest scoping briefings on what Cyprus can and cannot efficiently distribute.
Proposed CCI role	Publish sector specific gateway guidance; convene MSME delegation.
Potential government role	FIEO/Department of Commerce trade facilitation support.
Potential private sector role	Distribution agreements between Indian exporters and Cyprus based EU distributors.
Implementation mechanism	CCI Trade & MSME Working Group.
Expected outcomes	A defined set of distribution partnerships in pharma, chemicals and select engineering goods.
KPIs	Number of MSME distribution deals; trade value growth in target categories.

Element	Detail
Short term actions	Publish the honest scoping gateway guidance referenced.
Longterm potential	A realistic, sustainable Cyprus distribution channel for targeted Indian export categories.

8.9 India–Cyprus Agri Food & Food Tech Forum

Element	Detail
Objective	Apply Indian water efficient agri technology to Cyprus's structural water stress challenge.
Rationale	Agriculture is a small (~2% of GDP) but water constrained sector; agrotourism is growing over 40% across three years, creating adjacent demand.
Target participants	Indian agri tech and irrigation equipment firms, Cyprus Ministry of Agriculture.
Indian stakeholders	Indian drip irrigation and agri tech companies.
Cypriot stakeholders	Ministry of Agriculture, Rural Development and Environment; agrotourism operators.
Key activities	Water efficient agri tech demonstration pilots; agrotourism linked farm to table partnership exploration.
Proposed CCI role	Convene agri tech delegation; support pilot site identification.
Potential government role	ICAR/Ministry of Agriculture technical cooperation support.
Potential private sector role	Pilot deployment of Indian irrigation technology on Cypriot farms.
Implementation mechanism	CCI Agribusiness Working Group.
Expected outcomes	At least one water efficient agri tech pilot within 18 months.
KPIs	Pilot sites established; water use reduction achieved.

Element	Detail
Short term actions	Identify 2–3 candidate Cypriot farms/cooperatives for pilots.

8.10 India–Cyprus Knowledge & Innovation Network

Element	Detail
Objective	Build on the Chair of Indian Studies and AI/innovation forum linkages into structured student and research exchange.
Rationale	Institutional groundwork here is furthest ahead of commercial activity , making this the easiest sector to convert into near term programming.
Target participants	Indian and Cypriot universities, students, research institutions.
Indian stakeholders	Indian universities, DPIIT startups (building on Reflect Festival participation).
Cypriot stakeholders	University of Nicosia, UC Lan Cyprus, Cyprus Research and Innovation Foundation.
Key activities	Student exchange pilot; joint research proposals building on the EU–India Innovation Forum; continued Indian startup participation in Reflect Festival.
Proposed CCI role	Coordinate CCI affiliated startups' Reflect Festival participation; support university partnership matchmaking.
Potential government role	Ministry of Education/UGC support on exchange programme recognition.
Potential private sector role	Corporate sponsored scholarships or research grants.
Implementation mechanism	CCI Education & Innovation Working Group.
Expected outcomes	A formal student exchange pilot and at least one joint research proposal.
KPIs	Students exchanged; joint research proposals submitted; startups participating in Reflect Festival.

Element	Detail
Short term actions	Coordinate 2027 Reflect Festival participation for CCI affiliated startups.
Longterm potential	Cyprus as a structured complementary education and innovation research partner for India.

9. Potential B2B/B2G Partnerships

9.1 Indian Government Stakeholders

- Ministry of External Affairs (MEA)Europe West Division; High Commission of India, Nicosia
- Department of Commerce, Ministry of Commerce & Industry
- DPIIT (Department for Promotion of Industry and Internal Trade)Invest India, Startup India
- Ministry of New and Renewable Energy (MNRE)
- Ministry of Ports, Shipping and Waterways
- Ministry of Ayush (wellness/Ayurveda linkage, per existing cultural wing programming)
- SEBI (capital markets regulatory counterpart to CySEC)

9.2 Cyprus Government Stakeholders

- Ministry of Finance
- Ministry of Energy, Commerce and Industry
- Deputy Ministry of Shipping
- Deputy Ministry of Tourism
- Deputy Ministry of Research, Innovation and Digital Policy
- Ministry of Agriculture, Rural Development and Environment
- Invest Cyprus (national investment promotion agency)
- Cyprus Securities and Exchange Commission (CySEC)

9.3 Diplomatic Stakeholders

- High Commission of India, Nicosia (Commercial Wing)
- High Commission of the Republic of Cyprus, New Delhi
- Cyprus trade promotion presence in India, currently coordinated via Invest Cyprus/CCCI rather than a dedicated Trade Centre a structural gap CCI could help formalize

9.4 Business & Industry Bodies

- Cyprus Chamber of Commerce and Industry (CCCI)
- Cyprus India Business Association (CIBA)

- Limassol, Larnaca and Paphos Chambers of Commerce
- Tech Island (Cyprus tech sector association)
- Cyprus Shipping Chamber
- FICCI, SEPC, Bombay Chamber of Commerce & Industry, Goa Chamber of Commerce & Industry, Bangalore Chamber of Industry & Commerce
- India Greece Cyprus (IGC) Business & Investment Council

9.5 Potential B2B Stakeholders by Sector

Sector	Cyprus side stakeholder types	India side stakeholder types
ICT & fintech	Tech Island members, CITEA, tech relocated multinationals, fund administration firms	IT/ITES majors, GCC operators, fintech startups, NASSCOM members
Shipping & maritime	Ship management companies, Cyprus Shipping Chamber members, maritime training bodies	Manning/crewing agencies, shipowners, maritime tech startups
Tourism & MICE	Hotel groups, DMCs, ACTTA members, agrotourism operators	OTAs, MICE organizers, outbound travel agencies, wedding tourism specialists
Financial services	Cyprus Stock Exchange, Eurobank Cyprus, fund administrators, CySEC licensed firms	NSE IX, NPCI International, GIFT City entities, Indian fund managers
Energy	Electricity Authority of Cyprus, energy ministry linked bodies	Renewable EPC firms, solar/storage manufacturers
Pharma & healthcare	Cypriot pharma distributors, private hospital groups	Pharm excel affiliated exporters, generic manufacturers
Education & research	University of Nicosia, UCLan Cyprus, research foundations	Indian universities, DPIIT startups

10. Strategic Recommendations

Twelve recommendations, organized under the areas specified for this section, each stated as a specific action rather than a generic aspiration.

Focus Area	Recommendation
Institutional Engagement	Establish a dedicated CCI Cyprus Desk, with the ten sector Working Groups reporting into it, and a formal (nonduplicative) coordination line with MEA, the Department of Commerce and the Joint Economic Committee.
Trade Promotion	Set a measurable bilateral trade target (e.g., moving beyond the roughly USD 140–215 million five year range) and track it category by category against the export list, reviewed annually alongside the India–Cyprus Business & Investment Summit.
Investment Facilitation	Operationalize the Invest India–Invest Cyprus MoU through a joint annual investor delegation programme covering the priority sectors, with CCI providing Indian side delegation coordination.
Sector Partnerships	Prioritize ICT/fintech, maritime services and financial services for immediate (0–12 month) attention, given existing MoU infrastructure and evidenced demand; treat energy and pharma as high-priority medium term tracks; treat agri tech and port infrastructure as emerging tracks pending further data/masterplan clarity.
Market Entry	Publish the honest, sector differentiated 'EU gateway' guidance described as CCI's flagship MSME facing knowledge product, explicitly correcting the assumption that Cyprus suits all categories of goods distribution equally.
Business Delegations	Time delegations to coincide with known Cyprus side events (Reflect Festival, Maritime Cyprus, European Maritime Day, the annual India–Cyprus Business & Investment Summit) rather than standalone missions, to maximize counterpart attendance.
B2B Matchmaking	Move from general networking receptions to prescheduled, sector specific matchmaking sessions attached to each Working Group's flagship initiative, with defined introduction targets per delegation.

Focus Area	Recommendation
Technology Cooperation	Use the Pinaka Technologies–Cellock MoU and the EU–India Innovation Forum linkage as templates to actively solicit three to five additional company level technology MoUs within 12 months, rather than treating the existing MoUs as a completed deliverable.
Maritime Cooperation	Launch the India–Cyprus Maritime & Logistics Council as CCI's first fully operational sector initiative, given the scale and existing openness of Cyprus's ship management cluster to international talent.
Energy Cooperation	Leverage Cyprus's 2022 accession to the International Solar Alliance as the formal entry point for Indian renewable energy engagement, rather than initiating a parallel bilateral track.
Education & Skills	Formalize a student exchange pilot building directly on the Chair of Indian Studies at the University of Nicosia within the first 12 months, as the lowest complexity, highest institution alreadiness initiative available to CCI.
Trilateral Opportunities	Engage actively with the India Greece Cyprus (IGC) Business and Investment Council, launched in Mumbai in February 2025, as an existing trilateral platform rather than creating a competing mechanism; assess Greece routed logistics and energy inter connection synergies (the Great Sea Interconnector's Crete/Greece leg) where evidence supports them.

CONCLUSION

Cyprus's economic priorities closing its ICT talent gap, diversifying its energy base, sustaining tourism growth into higher value segments, and deepening its EU capital markets and payments infrastructure align closely with capabilities India already has in abundance. Cyprus's structural challenges a small domestic market, energy cost pressure, water stress, and single port logistics are areas where Indian capability can plausibly contribute rather than areas India needs to work around. Bilateral diplomatic momentum since 2024 has already produced an unusually dense set of institutional agreements for a relationship of this size. What remains is the disciplined, sector by sector conversion of that momentum into recurring commercial outcomes trade, investment, joint ventures and technology partnerships evaluated and ranked on evidence, not asserted by aspiration. That conversion role is where CCI India can add the most value, positioned as Indian industry's business facilitation and industry connectivity bridge into Cyprus. The opportunity, however, should be approached with selectivity rather than breadth for its own sake. The strongest near term opportunities are likely to be concentrated in ICT and fintech, maritime services, pharmaceuticals, renewable energy, tourism and investment facilitation, where there is already evidence of demand, institutional readiness or existing bilateral activity. These sectors can provide the initial pipeline around which a broader India–Cyprus economic partnership can be built.

For CCI, the next phase should therefore move from relationship building to transaction building: identifying credible companies on both sides, matching them around specific commercial requirements, supporting regulatory and market entry navigation, and tracking whether discussions translate into contracts, investments or partnerships. A clear pipeline based approach, supported by measurable targets and periodic review, would help ensure that institutional engagement produces tangible outcomes.

Over time, the objective should be to establish a repeatable India–Cyprus business ecosystem, rather than relying on individual delegations or one off events. Regular sector dialogues, B2B matchmaking, investment missions, knowledge exchanges and industry databases can create the continuity required for businesses to build trust and transact across markets. In this model, CCI's value lies not merely in convening stakeholders, but in connecting the right stakeholders at the right time and supporting the journey from first contact to commercial execution. Ultimately, the India–Cyprus relationship can evolve from a relatively modest trade relationship into a high value partnership built around services, investment, innovation and strategic connectivity. CCI can help anchor this transition by ensuring that institutional goodwill is consistently translated into commercially viable and measurable outcomes.

THANK YOU

CCI India sincerely thanks Your Excellency for the warm hospitality and gracious interaction with our team. We greatly value the opportunity to discuss strengthening India-Cyprus bilateral trade and economic relations and look forward to deepening cooperation, expanding business engagement, and creating new avenues for trade, investment, and mutually beneficial partnerships between the two countries.



India–Cyprus: Building Bridges, Strengthening Partnerships, Shaping Shared Prosperity

www.cciindia.org
admin@cciindia.org

13, Institutional Area, Lodhi Road, New Delhi-110 003



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